Moody's Analytics

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# Shifting Sands: The UAE Under an Oil Shock

## Despite efforts to diversify its economy, the UAE would still wither under a demand-led slump in oil prices.

- Despite recent economic diversification efforts, the UAE remains highly sensitive to global oil demand. A collapse in global demand on the scale of a new global pandemic would push both demand for oil and the oil price down.
- UAE GDP would be expected to fall by more than 7%, sparking a rise in the unemployment rate and igniting an increase in government debt.
- Most of the economy will have returned to the baseline outlook within approximately five years.

Over the last decades, the United Arab Emirates has emerged as a developed and urbanized economy, further benefiting from its strategic location as a regional trade and financial hub. While the economy has been diversifying in recent years, and tourism has gained importance— it accounted for approximately 11% of the GDP in 2023, making it the most visited country in the Gulf region—the UAE remains heavily reliant on the oil sector's performance, accounting for about 30% of its GDP.

Given the importance of the UAE's oil economy, we decided to assess the UAE economy's sensitivity to a negative oil price shock triggered by a collapse in global demand. In this article, we examine its potential cutbacks on the real economy, prices, monetary policy responses, and fiscal balances.

### Scenario description

The Oil Shock Scenario described in this note assumes a major global economic event, for example, a new pandemic, in which major world economies enter a recession. As a result, global demand for energy and oil significantly decreases. With demand weakening, oil suppliers face excess inventory. Consequently, they compete to sell their inventories, causing oil prices to fall. As oil export revenues decline, exacerbated by the loss of tourism, the decline spills over to the other UAE industries and domestic demand, and leads to a reversal of GDP growth. Weak energy prices and a widening output gap create deflationary pressures, leading to a decline in consumer prices.

### General assumptions

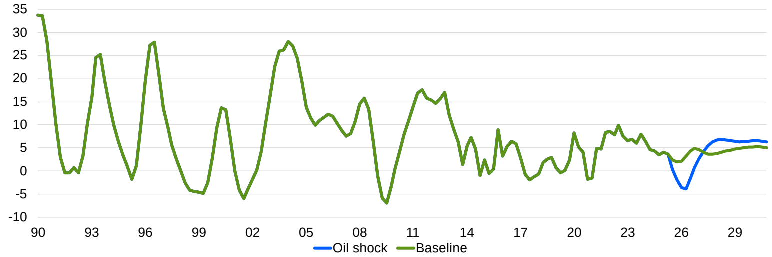
- Global oil demand collapses. This could be triggered by a new pandemic that reduces population mobility as a result of health protection measures. This ushers in a recession in the major economies in the third quarter of 2025 that continues until the fourth quarter of 2026. Real GDP growth subsequently follows the endogenous path given by the model.
- We assume the world's crude oil demand declines by 15% by the end of 2026 compared with the second quarter of 2025.
- Inflation and the monetary policy rate are assumed to return to their long-term equilibria as late as the fourth quarter of 2028.

### Economic impact

Low global oil demand, especially weak oil consumption in the UAE's key oil trade partners, results in a fall in real exports. Real exports contract by 3.8% year on year in the second quarter of 2026, marking one of the worst falls since the 1990s. Industrial production drops by 2.9%, as decreased global oil demand affects related industries.

Real Exports Suffer the Fourth Worst Fall Since the 1990s

Real exports, % change yr ago

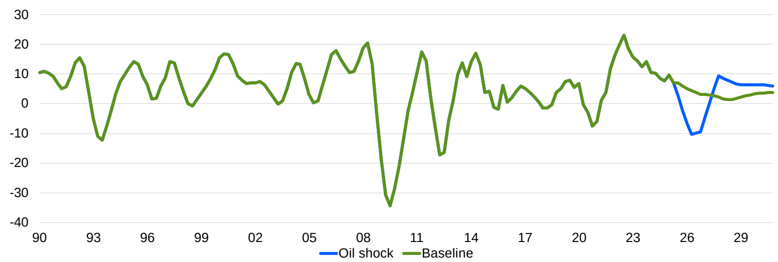



Sources: Federal Competitiveness and Statistics Centre, United Nations, Moody's Analytics

As industrial production falls and firm profits are squeezed, layoffs and downward pressure on wages hit real incomes, and consumer spending declines. Consumption drops by 10.3% year on year, a decline unseen since the Global Financial Crisis, supporting a further decline in real imports. Consumer spending is sensitive to economic downturns in the UAE, partly reflecting migrant outflows as short-term workers leave the country when economic activity stalls.

Real Consumption Plummets

Real private consumption, % change yr ago

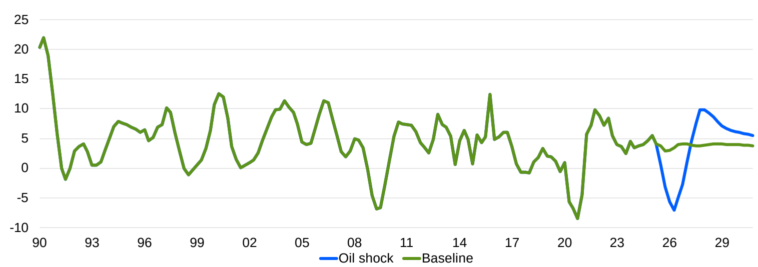



Sources: Federal Competitiveness and Statistics Centre, United Nations, Moody's Analytics

As a result of the combination of declining exports and declining domestic demand, the economy slips into a severe recession. Real GDP declines for five consecutive quarters, slumping by 7.1% year on year in the second quarter of 2026.

Real GDP Falls More Than During the Global Financial Crisis

Real GDP, % change yr ago

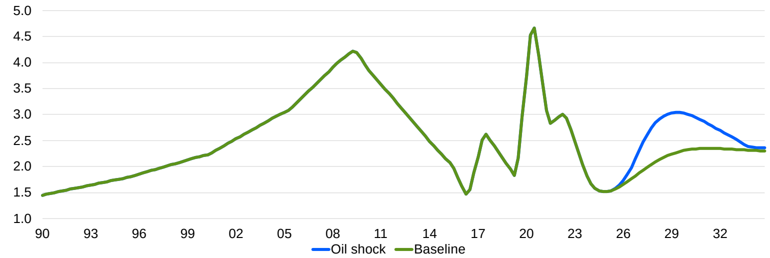



Sources: Federal Competitiveness and Statistics Centre, United Nations, Moody's Analytics

As the economy contracts, the unemployment rate rises above its long-term average, reaching 3% in 2029, up from 1.6% in 2025. GDP growth starts to recover in 2027, followed by a large expansion, whereas the higher unemployment rate persists for several years, reverting to baseline as late as 2033. The relatively small reaction of the unemployment rate, considering the large drop in real GDP, can be attributed to the number of migrant workers, who are likely to leave once they are without working contracts as the recession begins. Departing workers are naturally not included in the reported unemployment rate. However, they do exacerbate the decline in consumption in the economy.

Unemployment Rate Ticks Up but Stays Low Historically

Unemployment rate, ppt

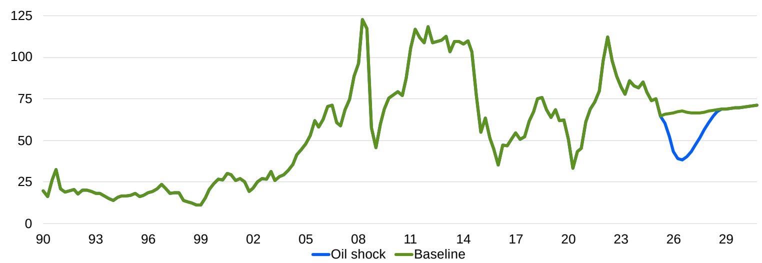



Sources: Federal Competitiveness and Statistics Centre, World Bank, Moody's Analytics

As the demand for oil plunges, competition among producers lowers the price of oil by more than 40% to $38 per barrel.

Oil Price Drops to $38

Brent crude oil price, $ per bbl



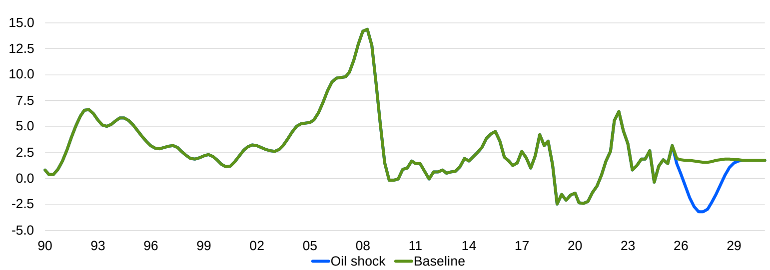

Sources: SIX Financial Information, Moody's Analytics

The oil price slump also translates to other industries. As energy prices decrease and consumer demand dries up, firms compete by lowering the prices of final goods, putting deflationary pressure on the whole CPI, as observed during the COVID-19 pandemic.

Inflation, as measured by the CPI, drops to -3.2%, creating one of the most severe deflationary episodes in recent history.

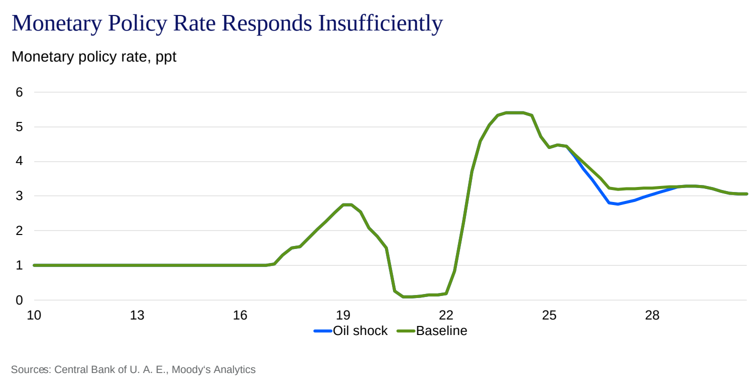
Severe Deflation Emerges, Reminiscent of COVID -19 Times

CPI, % change yr ago

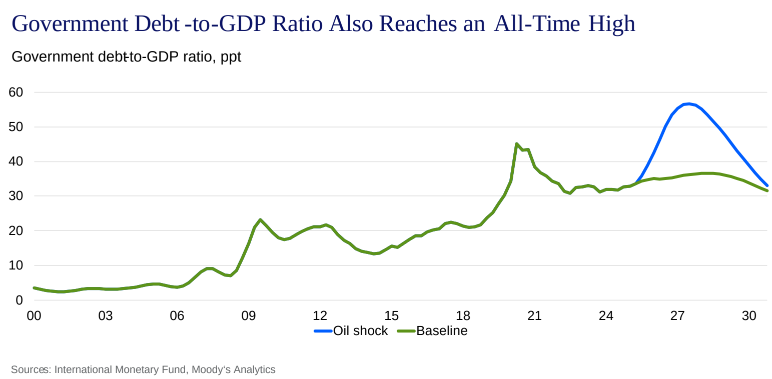



Sources: Federal Competitiveness and Statistics Centre, World Bank, Moody's Analytics

As the shock transmits through the global economy, the Federal Reserve lowers its monetary policy rate in response to the deteriorated situation in the U.S. As the Central Bank of the United Arab Emirates maintains an exchange rate peg vis-à-vis the U.S. dollar, it does not have an independent monetary policy. Interest rates in the UAE, therefore, follow the Fed, despite the fact that the magnitude of these rate cuts is insufficient to offset the deflationary pressures in the UAE economy.




Hydrocarbon revenues account for around 60% of government fiscal revenues in the UAE, so the loss of oil revenues significantly hits fiscal balances. As a result, government debt rises above its historical maximum and reaches a level in excess of $272 billion.




Fiscal adjustments and drawdowns from Sovereign Wealth Funds, as introduced following the Global Financial Crisis and COVID-19 recession, and the recovery of consumption and GDP, restore the debt-to-GDP ratio to its baseline trajectory by 2031.

## Conclusion

It is clear that an oil demand shock of this magnitude would significantly damage the UAE's economy. The simulated crisis would be comparable to the COVID-19 recession and the Global Financial Crisis. The initial shock quickly reverberates through the real economy, and it takes approximately five years for the economy to return to baseline. It is worth bearing in mind that there are a number of factors that could trigger a decline in oil prices. In this scenario, we have limited the analysis to a collapse in global demand, similar to the COVID-19 pandemic. Other scenarios such as a rapid technological change that reduces oil demand could result in a similar fall in oil demand and oil prices, but could also stimulate economic activity in the rest of the world, leading to different impacts on the UAE economy. This stresses the importance of understanding the narrative behind any shock, to ensure that it propagates through the appropriate economic channels of Moody's Analytics Global Macroeconomic Model.